Deutsche Bank
Research

Rating
Buy

North America
United States

TMT
Software

Company
Microsoft

Reuters
MSFT.OQ

Bloomberg
MSFT US

Date
29 October 2026

Rating	Buy
Price target (USD)	600.00
Price at 28 Oct 26	531.01
52-week range	543.45 – 352.83
Market cap (USD)	3943.4B

Valuation & Risks

Broadening AI Momentum Builds

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Microsoft reported another solid set of results in F1Q, with strong topline outperformance and continued evidence that the dual engines of Azure and M365 Commercial Cloud are sustaining an increasingly durable growth trajectory. Revenue growth accelerated to 19% y/y @cc, with Azure +48% @cc vs. +44-45% guidance and M365 Commercial Cloud +18% @cc (19% adj.) vs. +17% guidance. With AI adoption and monetization broadening across the stack, and operating leverage offsetting the elevated investment required to capitalize on outsized demand, we see further support for our positive view on the stock and reiterate our Buy rating. Herein we highlight key incremental takeaways from the earnings call as well as our callback.

Incremental Points from the Earnings Call

- **Azure** outperformance (+48% @cc reported vs +44-45% guide) was driven by Foundry and improved CPU monetization, where **engineering work unlocked additional GPU and CPU capacity**. Mgmt. also cited benefit from higher revenue per token in the quarter, which we understand can be episodic and tied to model-release cadence rather than a recurring tailwind. F2Q guidance of +49%-50% @cc implies further acceleration despite 3P GPU capacity shifting into F2H, with demand still exceeding supply.

- **M365 Commercial Cloud** outperformance (+19% @cc adj.) was **driven by stronger GitHub Copilot adoption and usage,** as well as adoption of premium Copilot, E5 and E7 SKUs, partially offset by **weaker M365 E3 and standalone SKU execution** which weighed on commercial seat growth. Mgmt. guided to +19% y/y @cc growth in F2Q with continued acceleration expected through FY27, largely driven by ARPU and some improving execution. This represents a complimentary acceleration vector to Azure, with consumption elements providing an additional monetization opportunity to monitor ahead.

- **CapEx** of $45bn was **below expectations due to 3P capacity delays**, with 3/4ths of CapEx associated with short-lived assets. Mgmt. **guided F2Q CapEx in the >$50bn range**, bringing calendar-year CapEx to ~$170bn. **F2H CapEx is expected to further accelerate** (or step up vs F1H) primarily driven by CPUs, including higher memory and storage costs, GPUs, and the delayed 3P capacity that now lands in the back half of the year.

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- **Operating margin came in ~1pt ahead of guidance**, consistent with recent quarters, and expanded 1pt y/y. Agents & Infra gross margin improved q/q, with y/y compression continuing to modestly ease on the back of efficiency gains and despite the accelerating mix shift to Azure. Devices & Consumer saw GMs expand ~2pts y/y while lower Activision-related intangible amortization helped offset the lower mix of Windows OEM revenue, driving strong op. margin expansion y/y. F2Q gross/operating margins were guided to 66%/46.8% at the midpoint, down 1pt/0.3pts y/y respectively. The company appears to be set up well relative to the full-year guide for op. margins to decline <1py y/y.

- Despite CapEx accelerating in F2H, **mgmt. reiterated that Microsoft will remain FCF positive in FY27**, underscoring the cash-generation capacity of the business. Infrastructure efficiencies should allow **each incremental dollar of CapEx to support more revenue** and higher returns over time, while mgmt. expects to **access additional funding when attractive** to complement internally generated cash and preserve financial flexibility.

Incremental Points from our Callback

- **Azure's recent beat cadence may be difficult to extrapolate** into F2Q given the growing number of variables affecting quarterly performance. **Engineering efficiencies should continue** across the CPU and GPU fleets, although the **F1Q benefit from higher revenue per token may not repeat** given its sensitivity to model mix and release cadence. At the same time, 3P GPU capacity that would have supported in-period revenue also shifted to F2H. Together, these factors leave **less room for similar upside to the guide** despite demand continuing to exceed supply.

- **AI infrastructure investments remain supply constrained rather than capital or ROI constrained**. We understand the company would **deploy additional capital if more powered shells were available** to do so, with **FCF largely an output of the model** rather than an upper bound on spending. Confidence in returns also continues to build as efficiencies across the stack allow each dollar of infrastructure to support more usage and revenue, alongside demand that continues to broaden across the enterprise.

- **Reliance on 3P capacity naturally introduces incremental execution and timing risk** even as it expands the infrastructure available to serve demand. These arrangements should help Microsoft add capacity beyond what it can build by itself, although **delivery timing is inherently less within the company's direct control** and creates greater quarterly variability in CapEx, available supply and Azure growth.

- Within Industry Solutions, **customers – particularly across CRM and HCM – are evaluating** how AI-enabled offerings may reshape future application workflows before making commitments. This is extending deal cycles and in some cases resulting in temporary pauses, although Microsoft may ultimately benefit given the breadth of its AI offering. On the other hand, ERP booking trends have remained relatively resilient.

Figure 1: F1Q Summary

Microsoft (MSFT)
In $mn except EPS

	1Q27				
	Actual	DBe	Actual vs. DBe	Cons.	Company guidance
Income Statement					
Agents & Infra	76,795	75,431	+1.8%	75,635	75,150-75,750
Y/Y Growth	*+24.5%*	*+22.3%*		*+22.6%*	
Azure Y/Y Growth - CC	*+48.0%*	*+44.5%*		*+45.0%*	*44%-45%*
Devices & Consumer	15,484	14,992	+3.3%	15,024	14,700-15,200
Y/Y Growth	*-3.2%*	*-6.3%*		*-6.1%*	
Total Revenue	**92,279**	**90,423**	**+2.1%**	**90,605**	**89,850-90,950**
Y/Y Growth	*+18.8%*	*+16.4%*		*+16.6%*	
Gross Profit	62,559	60,674	+3.1%	60,855	60,050-61,350
GM (%)	67.8%	67.1%		67.2%	
Operating Income	**45,915**	**43,821**	**+4.8%**	**43,984**	**43,150-44,550**
OM (%)	49.8%	48.5%		48.5%	
Y/Y Growth	*+21.0%*	*+15.4%*		*+15.9%*	
Non-GAAP Net Income	36,422	34,977	+4.1%	35,170	
Net margin (%)	39.5%	38.7%		38.8%	
Non-GAAP EPS	**$4.89**	**$4.71**	**+3.9%**	**$4.73**	
Operating Metrics					
Operating Cash Flow	**58,000**	**51,554**	**+12.5%**	**54,226**	
Y/Y Growth	*+28.7%*	*+14.4%*		*+20.4%*	
CapEx (incl. cap leases)	45,217	50,637	-10.7%	51,131	
Levered FCF (ex-cap leases)	18,633	1,822	+922.7%	7,724	

Source: Company Reports, DB Research, Bloomberg Finance LP

Appendix 1

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Company	Ticker	Recent price	Disclosure
Microsoft	MSFT.OQ	531.01 (USD) 28 Oct 26	7, 8, 14, 15, 21, 24, 26

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Historical recommendations and target price: Microsoft (MSFT.OQ)



1.	16 Nov 23	Price target: 415 (USD), close price 376.17 (USD), Recommendation: Buy, Analyst: Brad Zelnick
2.	25 Jan 24	Price target: 450 (USD), close price 404.87 (USD), Recommendation: Buy, Analyst: Brad Zelnick
3.	26 Apr 24	Price target: 475 (USD), close price 406.32 (USD), Recommendation: Buy, Analyst: Brad Zelnick
4.	2 May 25	Price target: 500 (USD), close price 435.28 (USD), Recommendation: Buy, Analyst: Brad Zelnick
5.	17 Jul 25	Price target: 550 (USD), close price 511.7 (USD), Recommendation: Buy, Analyst: Brad Zelnick
6.	31 Jul 25	Price target: 630 (USD), close price 533.5 (USD), Recommendation: Buy, Analyst: Brad Zelnick
7.	29 Jan 26	Price target: 575 (USD), close price 433.5 (USD), Recommendation: Buy, Analyst: Brad Zelnick
8.	30 Apr 26	Price target: 550 (USD), close price 407.78 (USD), Recommendation: Buy, Analyst: Brad Zelnick
9.	12 Oct 26	Price target: 600 (USD), close price 541.15 (USD), Recommendation: Buy, Analyst: Brad Zelnick

Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	42%	0%
w/ Banking relationship	43%	33%	0%
w/ MiFID services	62%	51%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	45%	32%	27%
w/ MiFID services	74%	67%	90%

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Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

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Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR: Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield.

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